

Exclusive: Cash-strapped UN refugee agency to cut more jobs, even as crises mount

GENEVA, May 18 (Reuters) - The U.N. refugee agency will need to cut more jobs and make urgent reforms as it faces a fall in funding and foreign aid, the organisation's head said in a letter seen by Reuters.

UNHCR High Commissioner Barham Salih told member states the agency had “no choice” as it expects available funds in 2026 to reach just over \$3 billion, about 15% lower than in 2025. The agency already announced [thousands of job cuts](#) last year.

The shortfall comes as the number of people displaced by war and persecution around the world [continues to climb](#). The agency works with people forced from their homes in Ukraine, Sudan and other conflict-hit countries.

“It is becoming increasingly clear that our projected financial situation for this year requires us to take some urgent steps,” Salih said in the letter dated May 15.

'SEVERE IMPACT' ON MILLIONS OF DISPLACED

UNHCR, which relies mostly on voluntary donations, suffered a roughly 30% drop in available funding in 2025 compared with 2024, the letter said, as the United States and other donors [cut contributions](#), and some shifted [funds to defence](#).

There were now many more international staff on contract than postings available, meaning there were hundreds of people who were in between positions who were still being paid.

There are roughly 3,000 international staff for only 1,800 positions, UNHCR said.

“Regrettably, we will then need to terminate the contracts of staff who have not been able to secure positions,” by the end of September, Salih said.

“This situation is not sustainable financially or operationally ... and carries significant financial cost for the organization, estimated at approximately \$185 million over the 2026-2028 period,” Salih added in the letter.

The agency said in a statement the imbalance in staffing had come after it reduced international staff positions by 33% last year.

"We fully recognize the anxiety this situation creates and are doing everything possible to mitigate its impact," it added.

"We remain deeply concerned by the widening gap between needs and resources and the severe impact this will have on millions of people displaced by war and persecution," it said.

The UNHCR High Commissioner called on donor countries to provide more flexible funding, saying in the letter the crisis has been compounded by a growing share of tightly earmarked donations.

Such funding rose from 24% of income in 2024 to 44% in 2025 and is expected to exceed 50% in 2026, Salih said.

The World Health Organization has also said its [workforce will shrink](#) by nearly a quarter - or more than 2,000 jobs - by the middle of this year after its top donor, the United States, [left](#).

WHO chief Tedros Adhanom Ghebreyesus has since said the financial situation has stabilised, telling members on Monday that 90% of its budget for the next two years had been funded.

e